



B

Index Number:

NATIONAL CERTIFICATE OF EDUCATION
2024

BUSINESS AND ENTREPRENEURSHIP EDUCATION
(N560)

SECTION B: ACCOUNTING

TOTAL TIME FOR
SECTION A AND SECTION B: 2 HOURS

Candidates answer on the Question Paper.
Additional Materials: Calculator and Ruler

INSTRUCTIONS TO CANDIDATES

This paper consists of two sections:

Section A: Business / Enterprise / Economics and Section B: Accounting.

You should ensure that you have received the booklets for both Section A and Section B.

Instructions for Section B

You are advised to spend **45 minutes** on Section B.

1. Write your index number in the space provided above.
2. Answer **ALL** questions.
3. Write in dark blue or black ink. Do not use correction fluid.
4. This section consists of **3** questions printed on **8** pages, numbered **2** to **9**.
5. The number of marks for each question is given in brackets ().
6. The total marks for Section B is **35**.

For Examiners' use					
Question No.	6	7	8	Total	Signature
Examiner					
Team Leader					
CE/ACE					

SECTION B – Accounting

Answer ALL questions (35 marks)

Question 6A (5 marks)

Circle the correct answer. Each item carries one mark.

1. “Office furniture bought on **credit**” is recorded in the account.

- A** cash
- B** bank
- C** purchases
- D** furniture

2. Which one of the following accounts always has a **credit balance**?

- A** Trade receivables
- B** Capital
- C** Drawings
- D** Vehicles

3. How is “**rent paid in cash**” recorded in a ledger?

A	Debit Rent Account	Credit Cash Account
B	Debit Cash Account	Credit Rent Account
C	Debit Rent Account	Credit Bank Account
D	Debit Bank Account	Credit Rent Account

4. An **income statement** is prepared to calculate the of an enterprise.
- A** liabilities
 - B** profit or loss
 - C** assets
 - D** owner's equity
5. Which of the following is an example of an **income**?
- A** Interest paid
 - B** Inventory
 - C** Interest received
 - D** Advertising

Question 6B (5 marks)

Match each **term** to its correct **description / definition**. Write your answers in the **answer grid** provided below.

An example is given.

Term		Description / Definition	
1	Ledger	A	A transaction that occurs when money is received or paid by cheque.
2	Credit transaction	B	The difference between revenue and cost of sales.
3	Double entry system	C	A business transaction that is paid for at a later date.
4	Capital	D	A book which consists of different accounts.
5	Gross profit	E	A transaction that occurs when money is received or paid in cash immediately.
6	Cash transaction	F	Money needed to start an enterprise.
		G	Each transaction affects two accounts, a debit entry and a credit entry.

Answer grid

Term	1	2	3	4	5	6
Description / Definition	D					

Question 6C (4 marks)

Fill in the blanks with a suitable term. Choose from the word(s) provided in brackets. An example is given.

Example: Goods bought for resale are called purchases. (sales, purchases)

1. The amount of money owed for credit purchases is referred to as trade (payables, receivables)
2. A trial balance is usually prepared at the end of each or year. (week, month)
3. An asset always has a balance. (debit, credit)
4. are debts which are repayable over more than one year. (Current liabilities, Non-current liabilities)

Question 6D (4 marks)

For each transaction in the table below, state which account should be **debited** and which account should be **credited**.

The first transaction has been done for you.

Date 2024	Transaction	Account to be debited	Account to be credited
May 23	Purchased a delivery van for cash Rs 10 000	Delivery van	Cash
May 25	Sold goods for cash Rs 7 500		
May 31	Bought stationery from Jamil Suppliers for Rs 875		

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Question 7 (7 marks)

Alison is a trader dealing in toys.

Table 1 shows the transactions which occurred in her business during the month of June 2024.

Table 1: Transactions for the month of June 2024

Date June 2024	Transactions	Amount (Rs)
1	Opening balances:	
	Cash Account	8 000
	Bank Account (DR)	30 000
7	Bought goods from Kung-Fu	7 000
15	Sold goods for cash	2 200
22	Paid insurance by cheque	300
23	Sold goods and received payment by cheque	430
28	Purchased goods for cash	1 350
30	Paid sundry expenses by cash	200

- (a) Select the appropriate transactions from **Table 1** and prepare the following accounts:
- (i) Cash Account
 - (ii) Purchases Account
 - (iii) Kung-Fu Account
- (b) Balance off the **Cash Account** on 30 June 2024.

Dr **Cash Account** **Cr**

Date 2024	Details	Amount Rs	Date 2024	Details	Amount Rs
June 1	Balance b/d	8 000			

[4]

Dr **Purchases Account** **Cr**

Date 2024	Details	Amount Rs	Date 2024	Details	Amount Rs

[2]

Dr **Kung-Fu Account** **Cr**

Date 2024	Details	Amount Rs	Date 2024	Details	Amount Rs

[1]

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Question 8 (10 marks)

Emmanuel is an entrepreneur who trades in groceries.

Table 2 shows the balances available in his enterprise as at 31 August 2024.

Table 2

Capital	20 000
Premises	14 000
Delivery vehicles	5 000
Profit for the year	5 500
Bank loan	4 000
Inventory 31 August 2024	4 000
Trade payables	1 500
Drawings	1 000
Trade receivables	3 500
Cash in hand	300
Cash at bank	3 200

(a) Explain **one** difference between Current Assets and Non-Current Assets.

.....

.....

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..... [2]

- (b) From the balances in **Table 2**, prepare Emmanuel's **Statement of Financial Position** as at 31 August 2024.

Emmanuel		
Statement of Financial Position as at 31 August 2024		
	Rs	Rs
Non-Current Assets		
Premises	14 000	
.....		
Total Non-Current Assets		
Current Assets		
.....		
.....		
Cash in hand	300	
Cash at bank	3 200	
Total Current Assets		
Total Assets		
Capital and Liabilities		
Capital		20 000
.....		
		
Less Drawings		[1 000]
Owner's Equity		
Non-Current Liabilities		
.....		
Current Liabilities		
.....		
Total Capital and Liabilities		

[8]

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